

dom of that remark. The nature of tidal market events is that they carry further than almost anyone can imagine. They either make you believe in them, or they make you poor. By 1989 this Darwinian process had weeded out doubters, bears and conservatives by the score, while enriching numerous members of the burgeoning American debt industry, and larding the Forbes Four Hundred with big-time debtors. It caused the standards of prudent corporate lending to be loosened and conditioned a small army of junk bond investors not to believe the plain English in debt prospectuses.

When, at long last, Integrated Resources Inc., the property syndicator and financial services company, hit the wall this summer, it was a lesson in blind faith and inevitability. For years, Integrated—an issuer and buyer of speculative-grade debt through the offices of Drexel Burnham Lambert Inc.—told anybody who cared to listen that its numbers didn't work. "The company believes that it will continue to require additional funds from sources other than operations in order to finance its operations," said a 1986 quarterly report. In fact, its operating income had peaked as long ago as 1984. Its cash flow was chronically negative. Its capitalization—heavily weighted to long-term debt, preferred stock and commercial paper—was swollen. Then, on an ordinary Wednesday in June, it ran out of borrowed money.

"In retrospect, it was a fragile capital structure," remarked President and Chief Operating Officer Arthur H. Goldberg to the *New York Times*, after that structure fell to pieces. That it took so long to come unstuck is one of those curiosities that have made the 1980s such an interesting decade. It only stands to reason that a few weeks before Integrated's collapse, the company was rumored to be a takeover candidate at \$21 a share (the stock duly closed above \$15).

In markets, everything has its season, and borrowed money is no more likely to prove a permanent sure thing than one-decision stocks, portfolio insurance or bags of sil-